

Stephen Dossou

Mines Paris – PSL, CERN

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Citizenship: Benin

RESEARCH FIELDS

Primary: Entrepreneurial Finance, Venture Capital

Secondary: Contract Theory and Mechanism Design, Applied Econometrics

EDUCATION

Ph.D. in Economics, Mines Paris – PSL (CERNA, ED SDOSE)

2024 – expected 2027

Advisors: Pierre Fleckinger and Philippe Mustar

Diplôme d'Ingénieur (M.Sc. equivalent), CentraleSupélec

2020 – 2024

Information & Communication Engineering. Optimization, machine learning, network theory, quantitative modelling.

Classes Préparatoires (MPSI, MP*), Lycée Louis-le-Grand, Paris

2018 – 2020

Competitive undergraduate programme in advanced mathematics and physics.

JOB MARKET PAPER

“Pooling Contracts between Venture Capital Institutions” (with Pierre Fleckinger)

Venture capital contracts are bargained deal by deal with entrepreneurs, but contracts between institutions are not: an accelerator committing to a venture capitalist, or a venture capitalist committing to a limited partner, faces non-negotiable terms and often commits blind. I summarize my findings. First, when the informed principal reveals the project's expected outcome *after* the investor has committed — the LP-to-VC relationship — an optimal pooling mechanism exists and the principal's budget constraint is slack in cash-rich economies, so every profitable project is financed. Second, when revelation comes *before* the commitment — the accelerator-to-VC relationship — the unique optimal mechanism is again pooling, but the budget constraint binds in every economy, and some positive-NPV projects are necessarily excluded. Third, the ordering of these two regimes is what makes the observed uniformity of institutional terms an equilibrium object rather than an administrative convenience. To arrive at these conclusions, I set up an informed-principal mechanism design problem in which the party holding the information also proposes the contract, characterise the incentive-compatible menus under both orders of revelation, and solve for the optimum under a budget constraint on the principal. *JEL*: G24, G23, D82, D86.

WORKING PAPERS

“Avoiding the British: Brexit and Partner Choice in European Venture Capital”

- Nothing in the UK's withdrawal restricted co-investment, yet continental venture capitalists whose pre-determined reliance on British partners was above the median cut the share of their syndicates including a British investor by 8.2 percentage points against a base rate of 18.7% ($p < 0.001$), from the semester of the referendum onwards. The effect is confined to the relational margin: deal counts, stages, round sizes, follow-on financing and exits are all null, established British ties dissolve no

faster than comparable continental ones (triple difference +0.3 pp, $p = 0.77$), and aggregate UK–continental volume tracks the rest of Europe. Exposure-based event study on Crunchbase, wild-cluster bootstrap inference.

“Protection and Pricing Power in Sequential Venture Financing”

- A sequential financing game — accelerator, pre-seed investor, seed investor, entrepreneur — modelling the most-favored-nation clause Y Combinator added to its standard deal in 2022. The intermediate investor who bridges the company to its priced round chooses both a price and an amount, and the two are not independent: cash advanced beyond the interim shock survives to the round and lightens what the seed investor must contribute. On the price margin, two cutoffs in the check separate three conversion regimes — the clause is absorbed into the pre-seed block, the two prices coincide, or the clause is pushed into the priced round — carrying strictly ordered financing thresholds. Which regime an investor can reach is decided not by the drafting of the clause but by how much it advances: below the point at which pre-funding stops paying, no participating check reaches the first cutoff and the clause is threshold-neutral; beyond it, the regimes that raise the threshold and destroy financing states become available. The clause then acts on the amount in a way that carries the investor toward that pivot, since removing a fixed sum from a block whose size the investor chooses taxes small checks hardest and widens the set of budgets at which it pre-funds — the instrument pushes the investor toward the region in which it ceases to be harmless. The same pre-funding lowers the threshold within each regime, so the sum is not signed; what the model identifies is the ratio that decides it, the interim check relative to the round it bridges to. Finally, an investor adopting the clause it is itself the target of loses the ability to price beyond the cutoff and is weakly worse off holding it. *JEL*: G24, G23, D82, D86.

POLICY REPORTS

“Devenir ETI : les chemins de la croissance”

June 2025

with Pierre Fleckinger, Philippe Mustar and Antoine Prévet.

Chaire etilab, Mines Paris – PSL. Report on the growth of French SMEs into mid-sized firms, combining firm-level statistical analysis, theory, and interviews with company executives.

PRESENTATIONS

EARIE (European Association for Research in Industrial Economics), Mannheim

August 2026

Pooling Contracts between Venture Capital Institutions (scheduled)

Internal doctoral workshop, Mines Paris – PSL (CERNA)

July 2026

Avoiding the British: Brexit and Partner Choice in European Venture Capital

IOEA (Institute of Organizational Economics Academy), Cargèse

April 2026

Pooling Contracts between Venture Capital Institutions

Journée des Doctorants (joint with Université Paris-Dauphine), Mines Paris – PSL

March 2026

Pooling Contracts between Venture Capital Institutions

TEACHING

Microeconomics (undergraduate, first-year engineering cycle)

2024 – 2026

Teaching assistant (*travaux dirigés*), Mines Paris – PSL. Two academic years (2024–2025, 2025–2026); 6 hours of tutorials per year plus exam grading.

PROFESSIONAL EXPERIENCE

Research Assistant, Mines Paris – PSL

Jan. 2024 – Oct. 2024

Research on startups and mid-sized firms in France; construction and analysis of large firm-level financial datasets.

Business Analyst (apprenticeship), Forvia

Sept. 2022 – Jan. 2024

Digital transformation initiatives in an industrial environment; operational monitoring tools.

Marketing Analyst (internship), Manda

Sept. 2021 – Jan. 2022

Acquisition strategy and performance analytics.

Data Scientist (internship), Onogone

July – Aug. 2021

Development and evaluation of NLP models.

SKILLS

Methods: Panel and event-study designs, difference-in-differences and triple differences, wild-cluster bootstrap inference with few clusters, falsification and placebo protocols, mechanism design and optimal control.

Software: Python, R, $\text{\LaTeX}$, Matlab.

Data: Crunchbase; construction of investor-round and dyad-level panels (>1.2M investor-round observations).

LANGUAGES

French (native), English (C1).

REFERENCES

Pierre Fleckinger

Professor, Mines Paris – PSL (CERNA) — pierre.fleckinger@minesparis.psl.eu

Philippe Mustar

Professor, Mines Paris – PSL (CERNA) — philippe.mustar@minesparis.psl.eu